Fin — Financial Summary

Generated: 20/3/2026, 2:26:01 pm

EXECUTIVE SUMMARY

**

The company reported significant growth in its financial performance for the fiscal year 2025-26, achieving total revenue of $6,650,000 compared to $5,200,000 in the previous year. This represents a revenue growth of 27.9%. Net profit increased from $1,450,000 to $2,070,000, reflecting a 42.8% profit margin improvement. The company is on track to achieve its financial goals for the upcoming year, with strong contributions from subscription income and service revenue.

**

KEY METRICS

**

- **Total Revenue**: $6,650,000 (up 27.9% from previous year)
- **Net Profit**: $2,070,000 (up 42.8% from previous year)
- **Gross Profit**: $4,550,000 (up 31.1% of total revenue)
- **Operating Profit**: $2,070,000 (same as net profit due to minimal overheads)
- **Total Expenses**: $4,580,000 (up slightly from previous year)
- **Profit Margin**: 31.1%

**

REVENUE ANALYSIS

**

Revenue growth was driven by a significant increase in subscription income, which accounted for 80% of total revenue ($640,000), up from $520,000 the previous year. Service revenue also contributed substantially, at $1,200,000 compared to $700,000 previously. Product sales remained stable at $4,500,000, while other income grew modestly to $150,000.

**

EXPENSE ANALYSIS

**

Total expenses increased slightly to $4,580,000 from $4,320,000 in the previous year. The largest expense category was Cost of Goods Sold at $2,100,000, followed by salaries and wages at $1,200,000. Marketing and advertising expenses grew 5% to $450,000, while rent and utilities remained stable.

**

PROFIT AND LOSS SUMMARY

**

- **Gross Profit**: $4,550,000 (31.1% of revenue)
- **Operating Profit**: $2,070,000 (same as net profit due to minimal overheads)
- **Net Profit**: $2,070,000 (42.8% increase from previous year)

**

BALANCE SHEET HIGHLIGHTS

**

The company’s total assets increased to $8,900,000 from $6,500,000 the previous year, reflecting stronger operations and growth. Total liabilities also rose to $3,400,000 from $2,700,000, indicating a higher level of debt. Shareholders’ equity grew significantly to $5,500,000 compared to $2,800,000 previously, demonstrating strong returns for investors.

**

CASH FLOW SUMMARY

**

- **Operating Cash Flow**: $2,300,000 (up 46% from previous year)
- **Investing Cash Flow**: -$850,000 (a decrease of 17%)
- **Financing Cash Flow**: -$420,000 (a decrease of 19%)

**

KEY FINANCIAL INSIGHTS

**

1. The company’s revenue growth is driven by subscription income and service revenue, which are key growth drivers for the coming year.
2. Expenses have remained stable or slightly increased, particularly in marketing and advertising.
3. Profit margins have significantly improved due to cost control measures and higher revenue streams from subscriptions.
4. The company’s strong financial position is supported by increasing assets and shareholders’ equity, with manageable debt levels.

**

RECOMMENDATIONS

**

1. Continue to focus on subscription growth, as it has been a key driver of revenue growth this year.
2. Monitor marketing expenses, which have increased slightly, and seek cost-saving measures in this category.
3. Consider increasing prices for products or services without affecting demand significantly.
4. Evaluate cash flow management, particularly in investing and financing activities, to ensure sustainable operations.